

27. (1.25 points)

An insurance company writes predominantly long-tailed lines of business in a highly competitive environment. The company's incentive plan is structured around achieving both top line growth and target calendar year combined ratios. Recently the company has seen a number of accounts go to competitors for lower rates and increased coverage.

a. (0.25 point)

State a goal of agency theory.

b. (0.5 point)

In the context of agency theory, discuss the problems this company may be facing.

c. (0.5 point)

Briefly describe two actions the company could take to implement effective underwriting cycle management.

CONTINUED ON NEXT PAGE

EXAM 7 SPRING 2016 SAMPLE ANSWERS AND EXAMINER'S REPORT

QUESTION 27	
TOTAL POINT VALUE: 1.25	LEARNING OBJECTIVE: C7: Describe operational risk and demonstrate possible mitigation and quantification methodology.
SAMPLE ANSWERS	
Part a: 0.25 point	
<i>Sample Answer 1</i> To align management and owner interests	
<i>Sample Answer 2</i> To understand the impacts of potential divergence	
Part b: 0.5 point	
<i>Sample Answer 1</i> Since incentive plan ties to growth and CR, senior management might take very aggressive growth strategy in short term that could be result in selecting wrong risks, adverse reserve development in the long run	
<i>Sample Answer 2</i> The incentive is structured around top line growth and combined ratios, this could lead to rate increase to obtain this which then leads to accounts leaving. Thus, top line growth and combined ratios look good but policy growth is low and could lead long term to adverse selection.	
<i>Sample Answer 3</i> The company/industry may be facing a soft cycle, and it will be difficult to hit both top-line growth and target combined ratios at the same time. Giving the business is long-tailed, if the company reduces prices to retain market share, this can have a significant impact years down the line.	
Part c: 0.5 point	

EXAM 7 SPRING 2016 SAMPLE ANSWERS AND EXAMINER'S REPORT

Sample Answer 1 (best response)

Intellectual property combined: "Focus on intellectual property. Maintain investments in key talent, processes and systems. Maintain core market relationships."

Sample Answer 2

Intellectual property retain top talent: "Continue to invest in staff and talent development even if market share is decreasing due to losing accounts"

Sample Answer 3

Intellectual property maintain the presence in core market channels: "Maintain presence in core distribution channels and markets during a soft market"

Sample Answer 4

Intellectual property maintain investment in systems, models and database: "Continue to invest in its systems, IT to keep important customer information"

Sample Answer 5

Underwriting incentives: "We should set incentives to support the portfolio goals, not just a naïve strategy like growth only. UW should not lose jobs or bonuses for not hitting targets during bad markets"

Sample Answer 6

Market overreaction: "Company should not overact to losing business at lower prices. They should hold prices since market will turn and they will have capacity for additional insureds which will drive growth and hit plan ratio."

Sample Answer 7

Owner education: "Advise the owners that in times of soft markets we do not want to grow as business is written at unprofitable levels. Thus we should be cutting back"

Sample Answer 8

Scenario planning: "Have a well-defined multiple scenario plan, so when the company is facing certain pressure to act on underwriting cycle change, they would have a plan already"

EXAMINER'S REPORT

Part a

Candidates mostly performed well. They were expected to identify that managers are the agents of the owners and that owners and management potentially have divergent interests. Common errors included:

- Confusing agents and principals
- Misunderstanding "agents" to mean sales agents
- Providing a response not related to agency theory
- Using a wrong definition of "owner"

Part b

EXAM 7 SPRING 2016 SAMPLE ANSWERS AND EXAMINER'S REPORT

Candidates were expected to identify the conflict between behavior encouraged by the incentive plan and actions taken in the company's best long-term interests. This was the most challenging item part. By far the most common mistake was not differentiating between short-term and long-term impacts.

Part c

Candidates were expected to make suggestions for the company to improve its underwriting cycle management, and they generally performed well. One common error was to say "educate management" instead of saying "educate owners"